

Earnings Preview: Broadcom Inc.

Fiscal Q2 2026 (quarter ended ~May 3, 2026)

Upcoming earnings: Wednesday, June 3, 2026, after U.S. market close ^[2,5]

Ticker: NASDAQ: AVGO | Sector: Technology / Semiconductors | CEO: Hock E. Tan | Prepared: May 29, 2026

Executive Summary

Broadcom heads into its fiscal Q2 2026 print as one of the two defining beneficiaries of the AI infrastructure build-out, having guided to ~\$22B of revenue (+47% YoY) with AI semiconductor revenue accelerating to ~\$10.7B (+140% YoY). ^[1,2] The setup is high-expectation: the stock sits near a 52-week high at ~\$427, up ~76% over the trailing year, on a TTM P/E of ~81x and EV/EBITDA of ~53x. ^[3] The print itself may matter less than management's forward commentary. ^[5,12]

Driver 1 — Custom AI accelerators (XPUs/ASICs): the pace of the five-to-six customer ramp (Google, Meta, OpenAI, Anthropic + two unnamed) and reaffirmation of the >\$100B AI-chip revenue “line of sight” for 2027. ^[1,13]

Driver 2 — AI networking mix: whether AI networking steps up to ~40% of AI revenue on Tomahawk 6 / 200G SerDes share gains, a higher-margin, share-gaining layer of the story. ^[1,2]

Driver 3 — VMware/software durability & regulatory overhang: software guided to ~\$7.2B (+9% YoY) at ~93% gross margin, against an escalating EU antitrust complaint over VMware licensing. ^[1,8,9]

Primary Drivers — EPIC Documentation

Driver	E - Material	P - Forecast able	I - Consensus blind spot	C - Gap vs consensus	Priority
1. Custom AI XPUs / ASIC ramp	Yes - ~55% of revenue is AI semis at guidance	Partial - supply secured 2026-28, order timing volatile	Yes - Street debates whether \$100B+ 2027 target holds	Anthropic order now chips-only; some FY26 est. cut to ~\$55B AI rev	High
2. AI networking mix to ~40%	Yes - high-margin, fastest-growing AI layer	Yes - Tomahawk 6 / 200G SerDes share gains visible	Partial - supply-constrained; under-modeled	Mix + share gains can lift blended GM vs ~77% guide	High
3. VMware software + EU regulatory	Yes - ~33% of revenue; 93% GM anchor	Mixed - ARR disclosed; legal timing uncertain	Yes - market under-weights EU interim-measures risk	Recurring-revenue durability vs licensing backlash	Med

EPIC inputs drawn from the Q1 FY2026 call, sell-side previews, and EU regulatory coverage. ^[1,6,8]

Earnings Quality Quick Screen

Check	Observation (Q1 FY26 / TTM)	Implication	Watch for (forward)
OCF / Net income	Q1 OCF \$8.26B vs NI \$7.35B = ~1.12x; income quality (TTM) ~1.19	Healthy (>0.8); cash backs earnings	OCF/NI as inventory build (68 vs 58 days) unwinds
DSO vs revenue	DSO (TTM) ~45 days; receivables turnover ~8x	No obvious recognition stretch	DSO creep vs +47% revenue; channel/VMware billing
GAAP vs non-GAAP	Q1 GAAP EPS \$1.55; SBC ~\$2.18B (~12% of revenue)	Large SBC add-back inflates non-GAAP	Non-GAAP tax ~16.5% FY26; SBC trajectory

Data: Bigdata.com tearsheet & Q1 FY2026 10-Q / earnings call. ^[3,1,4]

Financial Expectations

Company Guidance for Q2 FY2026 (issued Mar 4, 2026)

Metric	Guidance	Notes
Consolidated revenue	~\$22.0B	+47% YoY
Semiconductor revenue	~\$14.8B	+76% YoY
of which AI semis	~\$10.7B	+~140% YoY; AI networking to ~40% of AI
of which non-AI semis	~\$4.1B	+4% YoY
Infrastructure software	~\$7.2B	+9% YoY; ~93% gross margin
Adjusted EBITDA margin	~68%	Record \$13.1B in Q1
Consolidated gross margin	~77%	Flat sequentially
Non-GAAP tax rate	~16.5%	Global minimum tax + income mix

All guidance figures from the Q1 FY2026 earnings call. ^[1,2]

Street Consensus (Q2 FY2026)

- Revenue: ~\$22.05-\$22.08B (+47% YoY) - essentially in line with guidance. ^[5,6]
- EPS (non-GAAP): ~\$2.32-\$2.39, ~+51% YoY (vs \$1.58 a year ago). ^[5,6]
- Forward consensus (next FQ, Aug-2026): revenue avg ~\$28.3B, EPS avg ~\$3.17 (22 analysts). ^[3]

Recent Performance Context

Q1 FY2026 (reported Mar 4) was a record: revenue \$19.3B (+29% YoY), beating the ~\$19.26B estimate; non-GAAP EPS \$2.05 vs \$2.03 est. AI semiconductor revenue grew 106% YoY to \$8.4B and free cash flow was \$8.0B (41% of revenue). The company returned \$10.9B to shareholders in the quarter (\$3.1B dividends + \$7.8B buybacks) and added a \$10B buyback authorization. ^[1,2,3]

Sentiment & Positioning

Data type	Metric / fact	Source	As of
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Sell-side posture	Consensus Buy; 52 Buy / 6 Hold / 0 Sell. Mean PT \$462; median \$469; high \$582; low \$335	Tearsheet	May 29, 2026
Recent PT actions	Aletheia \$525 (from \$500); Susquehanna \$490 (from \$450); UBS \$490; TD Cowen \$500 (from \$405)	News / sell-side	May 15-29, 2026
Price / technical	\$426.58; ~+76% 1Y, +23% YTD; 92% of 52-wk range; resistance ~\$437.5, support ~\$405	Tearsheet / Benzinga	May 29, 2026
Options positioning	Institutional puts value ~\$31.6B vs calls ~\$21.8B (net defensive skew among 13F filers)	Tearsheet (fund trends)	Q1 2026
Institutional ownership	~75.8% held by funds; holders -1.5% QoQ; aggregate shares -1.7% QoQ	Tearsheet (13F)	Q1 2026
Insider transactions	Not available in data set	-	-

Sources: Bigdata.com tearsheet (analyst, price, fund-trends), plus PT-change coverage. ^[3,5,6,10,11]

Recent Developments & Initiatives

- Google TPU: long-term supply agreement extended through 2031; strong demand for 7th-gen “Ironwood” TPU, multi-gigawatt capacity from 2027. ^[13,6]
- Meta MTIA: two-year roadmap with Broadcom as ASIC provider; >1GW of custom silicon rolling out. ^[13,6]
- OpenAI: 10GW custom-accelerator partnership (Oct 2025), first racks 2H26; reports of first-phase funding friction (~\$1.8B) and reliance on a Microsoft purchase commitment pressured the stock in early May. ^[10,15]
- Anthropic: ~\$10B initial TPU order slated for 2H FY26 reportedly now chips-only (no racks), leading Susquehanna to cut its FY26 AI-revenue estimate to ~\$55B from ~\$62.5B (FY27 view intact). ^[6]
- Capital return: board authorized an additional \$10B buyback effective through end of CY2026; quarterly dividend \$0.65/share. ^[2,3]
- Regulatory: EU cloud lobby CISPE filed an antitrust complaint (Mar 2026) seeking interim measures over VMware licensing; Broadcom sued EU regulators (May 13, 2026) over a document request, citing attorney-client privilege. ^[8,9]

Industry Trends & Sector Dynamics

- AI capex remains the dominant tailwind: hyperscalers are scaling custom silicon aggressively; TD Cowen now models \$1.3T of data-center silicon spend by 2030 (up from \$1.2T). ^[11,13]
- Custom ASIC vs merchant GPU: Broadcom captures cloud vendors seeking lower total cost of ownership, complementing rather than displacing NVIDIA, with networking content rising per deployment. ^[14,13]
- Networking is increasingly supply-constrained - a tailwind for pricing/share but a potential ceiling on near-term volume. ^[6]
- Customer concentration risk: a handful of hyperscalers drive the bulk of AI revenue; Apple alone is ~15% of total revenue. ^[7]

What's Priced In

Lens	Implied by market	Consensus	Our view
Growth	~81x TTM P/E embeds sustained 40%+ growth and the >\$100B 2027 AI-chip narrative	+47% Q2 revenue; AI semis +140%	Guidance likely met/beaten on chips; risk is order timing, not demand
Margins	~77% GM / ~68% EBITDA already best-in-class; little room for upside surprise	Flat GM sequentially	Networking + software mix supports; downside if XPU mix dilutes
Beat / miss bar	52-wk-high stock = high bar; whisper above the \$22B guide	In line with guide	An in-line print may disappoint; 2027 AI commentary is the swing factor

Valuation Cross-Check

AVGO trades at ~81x TTM earnings, ~53x EV/EBITDA, ~30x EV/sales and a ~1.4% free-cash-flow yield - a substantial premium to its own multi-year history and to semiconductor peers. ^[3]

Sell-side targets cluster \$462-\$525 (consensus ~\$480), implying modest upside from ~\$427. By contrast, an independent fundamental note (VRS) argues the multiple is stretched, with DCF/peer-based fair value well below spot and a weighted estimate near ~\$394 - a reminder that valuation, not demand, is the bear's anchor. Net: valuation embeds optimism; the quarter must protect the 2027 narrative to justify the multiple. ^[6,11,7]

Variant Perception (FaVeS)

Fundamentals

Three KPIs drive the quarter: (1) AI semiconductor revenue vs the \$10.7B guide; (2) AI networking as a share of AI revenue (~40% target) given its margin profile; and (3) VMware/software ARR and bookings durability. Consensus could be wrong on the cadence of XPU shipments - the Anthropic order shifting to chips-only shows revenue can be lumpy even when demand is intact. ^[1,6]

Valuation

As detailed above, the market prices AVGO for sustained hyper-growth and an intact >\$100B 2027 AI-chip path. That leaves limited margin of safety: an in-line quarter with cautious near-term guidance could compress the multiple even if the long-term story is unchanged. ^[6,7]

Sentiment

Positioning is bullish on the sell-side (52 Buys, rising targets) yet the 13F options book shows a net-defensive put skew and a slight decline in institutional holders - i.e., conviction longs hedging into a high-priced, high-beta print. Sentiment is priced for good news, with downside asymmetry if guidance is merely modest. ^[3,6]

Bull Case: Drivers for Upside Surprise

1. **AI semis beat the \$10.7B guide.** Q1 AI semis came in way above outlook; networking is accelerating and supply is secured through 2028. Evidence: Q1 call. Impact: each ~\$0.5B AI-revenue beat is ~2-3% of consolidated revenue.

2. **2027 AI-chip target raised or reinforced.** Reaffirming/expanding the >\$100B 2027 line of sight (six engaged customers, ~10GW) is the single biggest catalyst. Evidence: Q1 call; Susquehanna keeps FY27 >\$100B. Impact: multiple support/expansion.
3. **Networking mix lifts blended margin.** AI networking to ~40% of AI revenue (Tomahawk 6, 200G SerDes share gains). Evidence: Q1 call. Impact: upside to the ~77% GM guide.
4. **VMware ARR resilience.** Q1 VMware revenue +13% YoY, TCV booked >\$9.2B, ARR +19%. Evidence: Q1 call. Impact: de-risks the software leg and recurring-cash narrative.

Bear Case: Risks to Consensus

5. **“Modest” near-term guidance.** Susquehanna flags that current-quarter guidance may be soft as Anthropic's initial order is chips-only; FY26 AI estimate cut to ~\$55B from ~\$62.5B. Evidence: Business Insider/Susquehanna. Impact: an in-line/soft guide into a 52-wk-high stock can trigger profit-taking.
6. **Valuation air-pocket.** At ~81x P/E, any deceleration or margin wobble has outsized price impact; independent DCF work sees fair value well below spot. Evidence: VRS note. Impact: multiple compression risk.
7. **EU/VMware regulatory escalation.** CISPE's antitrust complaint seeks interim measures that could force changes to VMware licensing in Europe; Broadcom is litigating EU document requests. Evidence: Morningstar, The Fly. Impact: software-margin and revenue-visibility risk if remedies are imposed.
8. **Customer concentration / order lumpiness.** A few hyperscalers (and Apple ~15% of revenue) drive results; the OpenAI funding friction shows project timing can slip. Evidence: KB Securities, PartnerCap. Impact: revenue volatility quarter-to-quarter.

Scenario Analysis

Scenario	Probability	Key assumptions	Price / target	Return vs spot (\$426.58)
Bull	30%	AI semis beat \$10.7B; 2027 target raised; networking >40%; strong guide	\$520	+22%
Base	50%	In-line ~\$22B / EPS ~\$2.35; 2027 narrative intact; modest near-term guide	\$470	+10%
Bear	20%	Soft guide / Anthropic-rack slip; AI FY26 trimmed; EU overhang weighs	\$360	-16%
Total	100%	Probability-weighted expected value	\$457	+7%

Probability-weighted value: $EV = 0.30 \times \$520 + 0.50 \times \$470 + 0.20 \times \$360 = \$156 + \$235 + \$72 = \$463$, ~+8.5% vs spot. Targets anchored to the \$462-\$525 sell-side band (bull/base) and the VRS downside work (bear). ^[6,11,7]

Key Metrics to Watch

1. **AI semiconductor revenue vs ~\$10.7B guide** - the core swing factor; size of any beat and the AI-networking share within it.
2. **2027 AI-chip line of sight** - any change to the >\$100B framing, customer count (now six), or gigawatt commitments.

3. **Q3 guidance tone** - modest vs accelerating; watch for rack-level vs chip-only revenue language on Anthropic.
4. **Gross/EBITDA margin** - holding ~77% / ~68% as AI mix rises; networking accretion vs XPU dilution.
5. **VMware ARR, bookings & churn** - software +9% guide; any sign EU pushback is hitting renewals.

Management Guidance Focus Areas

- Hock Tan on 2027 AI demand visibility and customer order books - the market is told to weight commentary over the printed quarter. ^[12]
- Networking share gains (Tomahawk 6/7, SerDes roadmap) and scale-up vs scale-out positioning. ^[1]
- VMware/VCF positioning as the abstraction layer for AI workloads, and any response to the EU complaint. ^[1,8]
- Capital allocation: buyback pace against the new \$10B authorization. ^[2]

Investment Implications

Risk/reward is balanced-to-asymmetric heading into the print. The demand story remains exceptional and guidance is very likely to be met on AI chips, but the stock is priced for it: at a 52-week high and ~81x earnings, the bar is high and positioning shows hedging beneath bullish headline ratings. The probability-weighted setup implies ~+7-9% expected value, with a wide \$360-\$520 dispersion - meaning the reaction will hinge on forward AI commentary (especially 2027 and the Anthropic rack question) far more than the in-line Q2 numbers. ^[3,6]

Net assessment: Neutral-to-positive because demand and the secured 2026-28 supply chain underpin the thesis; **key risk:** a modest near-term guide and valuation air-pocket into a high-priced stock, plus EU/VMware regulatory escalation; **next catalyst:** the June 3, 2026 earnings call and 2027 AI-revenue commentary. ^[5,9]

Sources

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- [2] [Broadcom Q1 FY2026 Earnings Call \(Quartr Transcripts\) - Mar 04, 2026](#)
- [3] [Bigdata.com Company Tearsheet, Broadcom Inc. - May 29, 2026](#)
- [4] [Broadcom Inc. Form 10-Q, Q1 FY2026 \(SEC EDGAR\) - Mar 11, 2026](#)
- [5] [What's Going On With Broadcom Stock Friday? \(Benzinga\) - May 29, 2026](#)
- [6] [Top Susquehanna Analyst Raises Broadcom Price Target \(Business Insider\) - May 29, 2026](#)
- [7] [Broadcom Inc. Equity Research & Valuation Note \(Valuation & Research Specialists\) - May 17, 2026](#)
- [8] [Broadcom Gets EU Competition Complaint Over VMware \(Morningstar\) - Mar 19, 2026](#)
- [9] [Broadcom sues EU antitrust regulators over request for documents \(The Fly\) - May 13, 2026](#)
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- [11] [Broadcom price target raised to \\$500 at TD Cowen \(The Fly\) - May 15, 2026](#)
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- [14] [Token Economics Research Series: Electronics \(China Galaxy Securities\) - May 28, 2026](#)
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